First Impressions: NZ building work put in place, December quarter 2025

#construction #newzealand

By Satish Ranchhod
Senior Economist, Westpac NZ

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Share

Construction activity was down 3.1% in December, mainly due to a sharp drop in non-residential work. Residential activity was also down but looks to be finding a base.

Building activity – December quarter 2025 (seasonally adjusted)

Total construction: -3.1% (previous: 0.2%, Westpac f/c: -0.3%)

Residential building work: -1.1% (previous +1.1%, Westpac f/c: +0.5%)

Non-residential building work: -6.5% (previous -1.7%, Westpac f/c: -0.8%)

Building activity was down 3.1% in December. That was lower than our forecast for a modest decline, and well below market forecasts for a 1.9% rise.

However, December's softness needs a bit of context.

In the **residential sector**, December's 1.1% drop followed a similar sized lift last quarter. Looking back over the past year, it looks like home building activity has found a base, with activity effectively trending sideways for much of the past year.

We expect home building will track sideways in the early part of 2026. But with new dwelling consents having now risen to a two-year high, we should see a recovery in residential construction taking shape in the latter part of the year.

The more notable softness was in **non-residential** work. The 6.5% drop in non-residential construction in December was much sharper than expected. Non-residential projects can be lumpy on a quarter-to-quarter basis due to their large size, so we could see some bounce in the early part of 2026. However, the December quarter fall was widespread, highlighting that businesses remain cautious about major capital expenditure at this stage. We expect continued softness in non-residential construction for some time yet, though trends are mixed across sectors.

Regional break down

Looking across regions, both residential and non-residential building activity have held up in the South Island over the past year consistent with the more general firmness in economic conditions.

However, it's more mixed in the north. In Auckland, the earlier falls in home building activity have flattened off, while other regions have been softer. At the same time, non-residential work has continued to trend down right across the North Island.

Implications for December quarter GDP

We're forecasting a 0.6% rise in GDP over the December quarter (out 19 March). Today's softer-than-expected result is balanced against the upside surprise we saw in the retail trade survey. We'll take a closer look at how our forecast for GDP growth is shaping up over the coming week as additional data for the quarter is released.

Satish Ranchhod, Senior Economist

P: +64 9 336 5668

M: +64 21 710 852

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